

2018 C L C 468

[Lahore]

Before Jawad Hassan, J

IJAZ AHMAD MIRZA----Petitioner

Versus

CIVIL JUDGE and others----Respondents

W.P. No.53695 of 2017, decided on 30th November, 2017.

Cantonments Rent Restriction Act (XI of 1963)---

---S. 17---Ejectment petition---Compromise deed/agreement between landlord and tenant outside court---Scope---When a factual controversy had been settled between the parties through an agreement outside the court and the same had been given effect by an order of the court of competent jurisdiction, then the same could not be resiled subsequently and the parties were under a legal obligation to abide by the terms and conditions thereof.

Hasan Masud Malik v. Dr. Muhammad Iqbal and others 1995 SCMR 766 ref.

Azeem Akram for Petitioner.

Mian Shakeel Ahmad and Mian Khurram Shahzad for Respondents.

ORDER

JAWAD HASSAN, J.--- Through this constitutional petition, the Petitioner seeks setting aside of order dated 15.07.2017 passed by Special Judge Rent, Sialkot, whereby he keeping in view detailed order dated 4.3.2017 passed by his predecessor dismissed the petition of the Petitioner and observed that nothing is to be paid by the Respondent and Petitioner has to return Rs.18.5 lac of security to the Respondent No.2. He further observed that after payment of security amount by Petitioner to the Respondent No.2, the possession shall be handed over to the Petitioner. Regarding other petition moved by the Respondent No.2, the learned Special Judge Rent, observed that the Respondent No.2 has complied with order dated 4.3.2017 and deposited keys of demised rented premises (shops) to Civil Nazir, but no security is returned to him. Therefore, the application moved by the Respondent No.2 was accepted and the Petitioner was directed to return the amount of Rs.18.5 lac to the Respondent No.2.

2. Facts briefly for the disposal of this constitutional petition are that ejectment petition regarding shops Nos.10- A, 10, 9-A, 9, 8-A, 8, 7-A and & 7 situated at Ground Floor and First Floor Cantonment Plaza Sialkot Cantt, filed by the Petitioner was allowed vide order dated 25.11.2015 by learned Rent Controller, Sialkot and the Respondent No.2 was declared willful

defaulter of rent under Section 17 of Cantonment Rent Restriction Act, 1963. His defence was struck off and he was directed to hand over the vacant possession of the demised shops within a period of two months. The Respondent No.2 assailed the said order before this court by filing FAO No.6/2016, which was dismissed in limine vide order dated 11.01.2016. It also transpires that during the pendency of the execution petition, an agreement was executed between the parties and according to clauses 4 and 5, thereof, the possession was to be handed over to the landlord/Petitioner on 2.1.2017 and landlord had to return to the Respondent No.2 his security amount Rs.18.05 million after deduction of Rs.4.5 lac of rent of grace period and other arrears. The said compromise deed (Mark-A) was given effect to and the Petitioner/landlord was not held entitled for any rent after 03.01.2017. The Respondent No.2/tenant was directed to deposit keys of suit shops before Civil Nazar, Sialkot within two days of the passing of the order and Petitioner/landlord was directed to deposit remaining security amount i.e. Rs.18.5 lac before Civil Nazar, Sialkot within seven days. Issuance of warrant of possession was subject to deposit of Rs.18.5 lac. Meanwhile, keys were to be remained in possession of Civil Nazar, Sialkot. The Miscellaneous application for implementation of agreement/compromise was disposed of on 4.3.2017. Feeling aggrieved by the said order, the Petitioner assailed the said order before this Court by filing WP No.7982/2017, which was disposed of being not pressed at the option of the Petitioner to approach the learned trial court with an appropriate application vide order dated 18.04.2017. Subsequently, both the parties filed their respective petitions. The Petitioner filed application for recovery of rent and possession of demised rent premises and the Respondent No.2 filed application for execution of order dated 4.3.2017. Both applications were consolidated by the learned Special Judge Rent, Sialkot and decided in the terms mentioned supra in the order dated 15.07.2017. Hence this constitution petition.

3. Arguments pro and contra have been heard and record perused.

4. Prima facie, the Petitioner is aggrieved of order dated 15.7.2017 passed by learned Special Judge Rent, Sialkot whereby he coincided with the findings of his predecessor and rejected the application moved by the Petitioner for recovery of rent after 03.01.2017. From the perusal of record it reveals that controversy was resolved as a consequence of compromise deed entered into inter-se the parties vide agreement deed dated 19.11.2016 (Mark-A). According to Clauses 4 and 5 of the said agreement, possession was to be delivered to the Petitioner on 02.01.2017 subject to his deposit of Rs.2.3 million after deduction of Rs.4.5 lacs of rent of grace period and other arrears to the Respondent No.2/tenant. It is an admitted fact that the said amount of Rs.2.3 million is with the landlord/Petitioner as security. According to agreement Rs.4.5 lac will be deducted from security amount and the Respondent No.2 is entitled to collect Rs.18.5 lac from the Petitioner. From the perusal of record it reveals that the Respondent No.2 showed his willingness to perform his obligation by filing application, but it was the Petitioner, who allegedly is using delaying tactics for some monetary benefits. The keys of shops are with Civil Nazar, Sialkot and the Petitioner/landlord has been directed to deposit remaining security amount i.e. Rs.18.5 lac before Civil Nazar, Sialkot. Warrant of possession is also subject to deposit of Rs.18.5 lac. Further impugned order dated 15.07.2017 is offshoot of order dated 4.3.2017, which is a consenting order and has been passed as a consequence of agreement deed entered into between the parties. Further when a factual controversy has been settled between the parties through an agreement outside the court and the same has been given effect by an order of court of competent jurisdiction, then the same cannot be resiled subsequently and the parties are under

a legal obligation to abide by the terms and conditions thereof. Reliance in this respect is placed upon Hasan Masud Malik v. Dr. Muhammad Iqbal and others (1995 SCMR 766) wherein it has been held as under:-

"Tenant failing to vacate premises in question by specified date could not wriggle out of the undertaking given by him. Constitutional jurisdiction being discretionary could not be exercised in favour of a person who was reluctant to abide by the undertaking given by him. High Court was right in declining to grant relief to tenant who was not prepared to abide by his own commitment in writing."

Further, in view of Section 13(d) of the Punjab Rented Premises Act, 2009, the tenant is under legal obligation to hand over the vacant possession of the premises in question as per terms on determination of the tenancy. Section 13 (d) of the Act reads as follows:-

Subject to the tenancy agreement, a tenant shall (d) "hand over the vacant possession of the premises to the landlord on the determination of tenancy."

Further, the tenant has committed violation of the terms of tenancy agreement. Section 15(c)(d) of the Act, clearly stipulates that a landlord may seek eviction of the tenant if:-

"(c) the tenant has committed breach of a term or condition of the tenancy agreement;

(d) the tenant has committed a violation of an obligation under section 13;"

5. In view of the above quoted provisions of law and agreement (mark-A) executed between the parties, the Respondent No.2 is under legal obligation to hand over the vacant possession of the premises in question and to abide by the terms and conditions of agreement, therefore, this petition is allowed and the impugned order dated 15.07.2017 is set aside, the possession shall be handed over to the Petitioner by the learned Rent Controller after adjusting dues of the arrear and other dues payable according to agreement/compromise between the parties and ensure compliance of this order in its true perspective.

MWA/I-3/L

Petition allowed.